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Discrepancy between BOJ's stated policy rate plan and its outlook for inflation

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Summary: The Bank of Japan (BOJ) has said that "accommodative financial conditions will be maintained for the time being" given continued weak economic activity and low prices. However, the BOJ's quarterly Outlook Report only presents its outlook for economic activity and prices. Unlike the US Fed's quarterly Summary of Economic Projections, the BOJ report does not include a dot plot showing projections for the central bank's policy interest rate. Rather, the BOJ explains that it prepares its outlook for economic activity and prices based on the consensus outlook for interest rates in the financial markets. The financial markets expect the BOJ to maintain its low policy rate for the foreseeable future and then make future rate hikes at a moderate pace. However, the financial markets' outlook is premised on the assumption that inflation in Japan will be below the BOJ's outlook for inflation remaining around 2%. If the financial markets' outlook were based on the BOJ's inflation outlook, the markets would presumably expect the central bank's policy rate to rise more rapidly. The BOJ has presented its outlook for stable 2% inflation because it assumes that keeping its policy interest rate at a low level for the time being, as expected by the financial markets, will support the economy and raise inflation expectations. The BOJ thus appears to be cherry-picking the convenient portions of financial markets' expectations to forecast a scenario in which it can achieve its 2% price stability target while maintaining a low policy rate. However, this communication poses a major risk to the BOJ's policy normalization. If the financial markets accept the BOJ's inflation outlook, the gap between the BOJ's inflation assumptions and the markets' would be closed by a substantial increase in the interest rate forecast. This would probably create some risk of turmoil in the financial markets. On the other hand, if inflation falls below 2%, the gap would be closed by a downward revision to the BOJ's inflation outlook. This would expose the BOJ to greater criticism that its declaration that achieving its 2% price stability target was in sight was made too early, which could further constrain its move toward normalization.

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BOJ declares price stability target in sight

On 19 March, the BOJ ended its negative interest rate policy (NIRP) and raised its policy rate for the first time in 17 years. For the BOJ to proceed smoothly with policy normalization, it needs to engage in thorough and constant dialogue with the financial markets to control their expectations.

When the BOJ proclaimed that it was ending NIRP and its extraordinary monetary easing, it also declared that achievement of its 2% price stability target in a sustainable and stable manner had come into sight. The Bank has long emphatically stated that achievement of its price stability target was a prerequisite for normalization of its monetary policy, including abandoning NIRP.

However, the BOJ has also said that underlying inflation is still below 2% and that medium- to long-term inflation expectations (the expected inflation rate) are still in the process of rising toward 2%. The expected inflation rate can be considered a leading indicator of the eventual inflation rate, as the inflation tends to move toward the expected level over time.

Central bank monetary policy measures are typically based on forward-looking decisions. Given the usual time lag between the implementation of policy measures and the emergence of their effects, the BOJ's decision to revise its policy when it judges that its inflation target is likely to be achieved in the near future is a sound one even though the target has yet to be fully achieved.

BOJ may have jumped the gun somewhat in revising policy

However, considering that the expected inflation rate, which as noted above is a leading indicator, has not yet reached 2%, the BOJ may be aware that achieving its price stability target still has a high degree of uncertainty even though it appears to have come into sight. In this regard, if the prerequisite for revising its policy was the 2% price stability target coming into clear view, the BOJ may have jumped the gun to some extent when deciding to revise its policy.

The current inflation rate being much higher than expected may have created an environment in which a BOJ policy revision should not be premised on achieving its 2% price stability target. However, ending NIRP after declaring that achievement of its 2% price stability target had come into sight may make it difficult for the BOJ to control financial market expectations as its proceeds with normalization.

Change in market expectations could hinder normalization

The BOJ statement that "accommodative financial conditions will be maintained for the time being" owing to the continued weakness in economic activity and prices is intended to curb excessive financial market expectations for additional policy corrections, such as a hike in the central bank's short-term policy rate.

However, since the BOJ has officially declared that its price stability target is in sight, the financial markets may not accept the BOJ's explanation, and this could lead to rising market expectations that the BOJ will quickly raise its policy rate to above 2%, a neutral level more consistent with 2% inflation. That change in market expectations could cause major turmoil in financial markets, including a rise in long-term interest rates, yen appreciation, and a decline in stock prices. It likely also would deliver a blow to Japan's still weak economy.

On the other hand, if inflation remains in a gradual decline to below 2%, the BOJ likely will be criticized for hastily declaring that achievement of its 2% price stability target had come into sight. Although the recent wage hikes have been higher than expected, the increase is considered to be part of the normalization from the "import shock" that has sharply inflated the prices of imported goods and does not necessarily ensure that inflation will remain at high levels.

From a somewhat longer-term perspective, the financial markets could expect the BOJ to implement additional easing measures to achieve its 2% price stability target when economic conditions deteriorate. Such a change in market expectations would probably hinder policy normalization.

Accepting that risk, the BOJ decided to jump the gun and declare its price stability target had come into sight and abandon NIRP. The BOJ's hasty decision may be due to its strong desire to launch a full-fledged revision of its extraordinary monetary easing that has had considerable negative side effects at a time when inflation and wage hikes have risen rather sharply, even if temporarily, and the government and the Japanese people are more likely to support that decision.

The BOJ's official explanation is that the improvement in the economic environment that has brought achievement of its 2% price stability target in sight has set the stage for it to begin shedding its extraordinary monetary easing measures, including ending NIRP, its yield curve control (YCC) and purchases of exchange-traded funds (ETFs). However, the main purpose of the BOJ's policy revision more likely is risk management focused on mitigating the negative side effects of its extraordinary monetary easing.

BOJ policy rate and price outlook in danger of being incompatible

The BOJ has said that "accommodative financial conditions will be maintained for the time being" given its current outlook for weak economic activity and low prices. However, the BOJ's quarterly Outlook Report only presents its outlook for economic activity and prices. Unlike the US Fed's quarterly Summary of Economic Projections, the BOJ report does not include a dot plot showing projections for the central bank's policy interest rate.

Rather, the BOJ explains that it prepares its outlook for economic activity and prices based on the consensus outlook for interest rates in the financial markets. The financial markets currently expect the BOJ to maintain its low policy rate for the foreseeable future and then make future rate hikes at a moderate pace. However, the markets' outlook is premised on inflation assumptions well below the BOJ's outlook for inflation remaining at around 2% going forward. If the financial markets' outlook were based on the BOJ's inflation outlook, the markets would expect the central bank's policy rate to rise more rapidly.

The BOJ has presented its outlook for stable 2% inflation because it assumes keeping its policy interest rate at a low level for the time being, as expected by the financial markets, will support the economy and raise inflation expectations. The BOJ thus appears to be cherry-picking the convenient portions of financial markets' expectations to forecast a scenario in which it can achieve its 2% price stability target while maintaining a low policy rate. However, this communication poses a major risk to the BOJ's policy normalization.

If the financial markets accept the BOJ's inflation outlook, the gap between the two would be closed by a substantial increase in the markets' interest rate forecast. That case, however, would create the risk of financial market turmoil, as noted above.

On the other hand, if inflation falls below 2%, the gap between the two would be closed by a downward revision to the BOJ's inflation outlook. This would expose the BOJ to greater criticism that its declaration that achieving its 2% price stability target was in sight was made too early, which could further constrain its move toward normalization.

The BOJ's policy normalization has just begun, and the finish line remains a long way off. To smoothly implement policy normalization, the BOJ needs to effectively control financial market expectations. However, the Bank has begun normalization in a way that has made the process much more difficult.

Appendix A-1

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